Simple Business English

Negotiating Retail Listing Fees: How to Cut Upfront Supermarket Costs

Situation: Elena, Key Account Manager at CrispBite Snacks, meets Marcus, Category Manager at NordMarket. They need to agree on terms to list six new chip flavors before the summer season starts.

Elena — Key Account Manager at CrispBite Snacks · **Marcus** — Category Manager at NordMarket Supermarkets

Transcript

Elena: Good morning, Marcus. **Thanks for making time today.**

Marcus: Good morning, Elena. Always good to see you. How is your week going?

Elena: Busy, but good. We are getting ready for the summer season.

Marcus: Same here. Summer snack sales are critical for our category this year.

Elena: Exactly. That is why I wanted to talk about our new chip line today.

Marcus: Right, the six new flavors. I reviewed your product presentation yesterday.

Elena: Great. What are your thoughts on the range?

Marcus: The concepts look promising, especially the spicy lime and truffle flavors.

Elena: We believe these six SKUs will drive strong category growth this summer.

Marcus: I agree they have potential, but we need to discuss listing conditions first.

Elena: Of course. What do you have in mind regarding conditions?

Marcus: NordMarket has a standard listing fee for new product lines.

Elena: Okay. What is the fee for these six items?

Marcus: It is thirty-five hundred euros per SKU. That comes to twenty-one thousand euros total.

Elena: Twenty-one thousand euros is quite high for our launch budget.

Marcus: It is our standard commercial policy for all snack suppliers. The fee is non-negotiable.

Elena: I understand company policy, Marcus. However, we already ran a successful pilot last month.

Marcus: Yes, you tested them in twelve of our downtown stores.

Elena: In those twelve stores, we achieved a ninety percent sell-through rate in three weeks.

Marcus: I see your point, but twelve stores is not three hundred and fifty stores.

Elena: That is true, but it clearly proves consumer interest in the new flavors.

Marcus: Downtown shoppers have higher incomes. Nationwide performance can be very different.

Elena: Our research shows broad demand across all regions, not just city centers.

Marcus: Still, our risk on nationwide shelf space is much higher.

Elena: Our main concern is that twenty-one thousand euros upfront leaves us with no marketing budget.

Marcus: Shelf space is valuable, Elena. We cannot give away premium slots for free.

Elena: We definitely do not expect free space. We want a model where we share the risk.

Marcus: What kind of model are you thinking about?

Elena: What if we launch four SKUs instead of six to reduce the total cost?

Marcus: We could do that, but the fee is still thirty-five hundred per SKU. That is fourteen thousand.

Elena: Fourteen thousand is easier, but which two flavors would you cut?

Marcus: Probably the smoked paprika and sweet chili. But your marketing team wanted the full six.

Elena: Yes, the full set looks much stronger on the shelf as a concept block.

Marcus: Cutting two flavors also reduces the overall launch impact for both of us.

Elena: I agree. Let's keep all six SKUs, but look at the payment structure.

Marcus: As I said, our finance department expects the listing fee before products arrive.

Elena: Paying everything upfront puts all the risk on the manufacturer before we sell one bag.

Marcus: We allocate the shelf space immediately, so NordMarket takes the initial risk.

Elena: How about we link this to actual sales results?

Marcus: Explain what you mean by that.

Elena: We pay fifty percent upfront, and the remaining fifty percent when we hit a sales target.

Marcus: That is unusual for standard listings. We normally require full payment.

Elena: It protects your margin while giving us the cash flow to invest in promotions.

Marcus: It sounds interesting, but what kind of target are you proposing?

Elena: We can measure sell-out over the first four months of the launch.

Marcus: What specific number per store are we talking about?

Elena: We propose five units per store per week across the six SKUs.

Marcus: Five units per store per week is far too low.

Elena: It is a realistic baseline during the introductory phase in three hundred and fifty stores.

Marcus: No, that does not cover our opportunity cost for shelf space.

Elena: What target would make sense from your perspective?

Marcus: For six SKUs in summer, I need at least eight units per store per week.

Elena: Eight units across all three hundred and fifty stores is very aggressive.

Marcus: If the pilot was really that good, eight units should be easy for you.

Elena: The pilot was supported by dedicated brand ambassadors in stores. Nationwide distribution is different.

Marcus: Then you are asking NordMarket to carry the risk of weak demand.

Elena: I'm afraid that won't work for us at eight units per store.

Marcus: We need strong velocity, Elena. Otherwise, the space is wasted.

Elena: We want strong velocity too, but the target must be achievable.

Marcus: What is your counter-offer on the volume?

Elena: Could we meet in the middle?

Marcus: In the middle would be between six and eight units.

Elena: Exactly. Seven units per store per week over the first four months.

Marcus: Seven units might work, but only if you actively support sell-out.

Elena: We are ready to invest in marketing, but we need retailer visibility.

Marcus: What kind of retailer visibility do you need?

Elena: We would need two promotional feature slots during the four-month period.

Marcus: Feature slots in our weekly leaflet normally cost extra, Elena.

Elena: If we hit seven units, both NordMarket and CrispBite win from higher volume.

Marcus: That is true, higher turnover helps our category margin.

Elena: So, could you include two leaflet placements without extra promotional fees?

Marcus: I cannot waive the promotional fees completely.

Elena: What can you offer on the leaflet placements?

Marcus: I can offer two secondary display placements at end-caps if you offer a twenty percent discount.

Elena: A twenty percent promo discount for two weeks across the summer?

Marcus: Yes, one week in July and one week in August.

Elena: That helps drive the volume we need to reach seven units.

Marcus: And it guarantees good value for our shoppers during peak snack season.

Elena: Let me summarize the structure to make sure we are aligned.

Marcus: Go ahead, let's hear the full proposal.

Elena: Six SKUs listed nationwide across all three hundred and fifty stores.

Marcus: Yes, full national distribution starting in June.

Elena: Total listing fee is twenty-one thousand euros, split into two equal payments.

Marcus: Ten thousand five hundred euros paid before delivery, correct?

Elena: Yes, and the remaining ten thousand five hundred paid only if we achieve seven units per store weekly.

Marcus: Calculated as an average over the first sixteen weeks of sales.

Elena: Correct. And NordMarket provides two end-cap promotional weeks with twenty percent price reduction.

Marcus: That sounds like a fair compromise.

Elena: I am glad we found a solution that works for both sides.

Marcus: Let me check with my director before I sign off officially.

Elena: Of course. When do you expect his feedback?

Marcus: I have a category review with him on Thursday morning.

Elena: That gives us enough time to prepare stock for the June rollout.

Marcus: Yes, production lead times won't be affected if we confirm by Friday.

Elena: Perfect. **Can you send this over by email** so I can show my management?

Marcus: I will send a summary email by the end of today.

Elena: Excellent. Thank you for your flexibility, Marcus.

Marcus: Thank you, Elena. Let's make this launch a big success.

Elena: Absolutely. Speak to you on Friday.

Marcus: Sounds good. Have a great afternoon.

Key phrases from this episode

Thanks for making time today.	polite way to thank someone for meeting you — Thanks for making time today, I know your schedule is full. — Thanks for making time today to review the contract.
I see your point, but	polite way to disagree after acknowledging their argument — I see your point, but our budget cannot cover that price. — I see your point, but delivery times are too long.
Our main concern is that	phrase used to highlight the biggest problem or worry — Our main concern is that delivery times are too slow. — Our main concern is that marketing costs are rising.
What if we	friendly way to suggest a new option or alternative — What if we sign a six-month contract first? — What if we deliver fifty units every two weeks?
How about we link this to	proposing to connect an action or payment to results — How about we link this to quarterly sales targets? — How about we link this to the customer satisfaction score?
I'm afraid that won't work for us	polite, firm refusal of a proposal — I'm afraid that won't work for us under these payment terms. — I'm afraid that won't work for us this quarter.
Could we meet in the middle?	asking both sides to compromise on a number — You want ten percent, I offered four. Could we meet in the middle? — Could we meet in the middle on the delivery date?
That sounds like a fair compromise.	accepting an offer that balances both interests — If you cover freight, that sounds like a fair compromise. — That sounds like a fair compromise for the trial period.
Let me check with my director	delaying final approval to consult a superior — Let me check with my director before we sign. — Let me check with my director on the final discount.
Can you send this over by email	requesting written confirmation of terms — Can you send this over by email so our legal team can read it? — Can you send this over by email after the call?

Common mistakes

✗ Not: ~~We need to discuss about listing conditions first.~~
✓ Better: **We need to discuss listing conditions first.**
The verb 'discuss' takes a direct object without the preposition 'about'.

✗ Not: ~~Can you explain me how the target works?~~
✓ Better: **Can you explain to me how the target works?**
We say 'explain to someone', not 'explain someone'.

✗ Not: ~~We suggest to split the fee into two payments.~~
✓ Better: **We suggest splitting the fee into two payments.**

'Suggest' is followed by a gerund (-ing form), not an infinitive with 'to'.

✗ Not: ~~Can we divide the total cost on two equal parts?~~
✓ Better: **Can we divide the total cost into two equal parts?**
In English, items are divided 'into' parts, not 'on' parts.

✗ Not: ~~I have a category review with him in Thursday morning.~~
✓ Better: **I have a category review with him on Thursday morning.**
Specific days and day parts require the preposition 'on', not 'in'.

Quiz

1. Why did Marcus dismiss the pilot results initially?
A) The test was too short.
B) Twelve stores cannot represent nationwide performance.
C) The sales figures were too low.

2. What was Elena's concern about paying the full fee upfront?
A) It would leave CrispBite with no launch marketing budget.
B) Her company would go bankrupt immediately.
C) NordMarket refused to list the full range.

3. What payment solution did the parties agree on?
A) Free listing with higher product cost.
B) Full payment after one year of sales.
C) Fifty percent upfront and fifty percent on reaching a target.

4. What weekly sales target per store did they settle on?
A) Five units per store.
B) Seven units per store.
C) Eight units per store.

5. What does the expression 'meet in the middle' mean?
A) Find a compromise between two conflicting positions.
B) Book a meeting room in a central city location.
C) Divide warehouse stock equally between two retailers.

Answers: 1-B 2-A 3-C 4-B 5-A

Dialogue voices are AI-generated. Every episode is built on a real, anonymized case from the host's 15+ years in FMCG and key account management.